

MARCH

Zee agrees to settle dispute with IndusInd Bank over dues

APRIL

Invesco exits Zee by selling its balance 5.11 per cent stake

MAY

NCLAT sets aside NCLT order asking exchanges to review approvals for Zee-Sony merger; Zee reports weak Q4 numbers

JUNE

Sebi debars Zee promoters from holding key positions

Source BofA report on Zee Entertainment Enterprises dated June 19, 2023

revenues of \$1.79 billion, making it the second largest entertainment network after Disney Star. Together, Zee-Sony would have 75 channels, two OTT platforms and two studios, and a strong presence in varied genres such as entertainment and sports, and in the regional markets. "I told Sony about what was going on [referring to Invesco] and left the decision to them," Goenka told *Business Today* earlier this year. ZEEL did not respond to queries from *BT* for this story.

The current legal tangle raises questions on the fate of the merger. However, Vivek Menon, Managing Partner at NV Capital, a media and entertainment credit fund, does not think it will be affected because it is between two organisations. "Let's not forget that over the last year, there have been many stumbling blocks, such as issues at the NCLT (the National Company Law Tribunal) and neither party gave up. The Competition Commission of India too has blessed this deal," he says. And ZEEL will not want a long battle in court; its share price since the time the merger was announced has gone southwards after an initial spike (see chart 'Highs & Lows').

For Sony too, growth has been challenging ever since it lost the media rights to marquee cricket tournament Indian Premier League



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MANAGING PARTNER,
NV CAPITAL



"Banks give loans to promoters of unlisted firms based on guarantees and LoCs from a listed company. This is flawed as the listed company is not entirely owned by the promoter"

SHRIRAM SUBRAMANIAN
FOUNDER & MANAGING
DIRECTOR, INGVERN
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in late 2017 to the then Star India. For FY22, it had total revenues of ₹6,771 crore, up 20 per cent from FY21 and a 60 per cent surge in net profit; however, compared to FY20, profit was virtually unchanged.

"This merger is a win-win situation for both. Coming together is the only way to take on Viacom18 and Disney Star on broadcasting and Netflix and Amazon on OTT," says Menon. InGovern's Subramanian says the Sebi order does not implicate ZEEL as a company. "If Goenka does not hold the position of MD, the process will not be under any pressure. The opportunity for Sony is huge and the past issues should have come up anyway at the time of due diligence."

Meanwhile, on June 21, a statement from Sony's headquarters referred to "several media reports" around the future of the planned merger following Sebi's order and said: "We take very seriously the Sebi interim order and will continue to monitor developments that may affect the deal." This terse statement from Sony is prone to several interpretations.

According to experts, large investments are required in the OTT business, especially when rivals have deep pockets. "A merger of this magnitude gives them ammunition to retain and potentially increase